

analyze transaction behavior found in each business category. We conclude by identifying three marked regimes that have evolved as the Bitcoin economy has grown and matured: from an early prototype stage; to a second growth stage populated in large part with “sin” enterprise (i.e., gambling, black markets); to a third stage marked by a sharp progression away from “sin” and toward legitimate enterprises.¹

Certainly, some of the earliest adopters of Bitcoin were criminals. But the same goes for most revolutionary technologies, as new technologies are often useful tools for those looking to outwit the law. We’ll get into the specific risks associated with cryptoassets, including Bitcoin, in a later chapter, but it’s clear that the story of bitcoin as a currency has evolved beyond being solely a means of payment for illegal goods and services. Over 100 media articles have jumped at the opportunity to declare bitcoin dead,² and each time they have been proven wrong.

When one considers Bitcoin neutrally in the context of a broader theme of technological evolution, it sits in the sweet spot of key technology trends. For example, the world is increasingly real-time, with people connecting in peer-to-peer manners, empowering and connecting individuals regardless of geographic or socioeconomic birth. Bitcoin fits these thematic molds. It allows a global transaction to be settled in an hour as opposed to a couple of days. It operates in a peer-to-peer manner, the same movement that has driven Uber, Airbnb, and LendingClub to be multibillion-dollar companies in their own realms. Bitcoin lets anyone be their own bank, putting control in the hands of a grassroots movement and empowering the globally unbanked.